4orm FINANCE

The Cost of Proving Suitability in Canada

Managing compliance costs through suitability tools and a clear record of the reasoning behind each decision.

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For financial institutions and regulated intermediaries
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EXECUTIVE SUMMARY

A clear record can lower the cost of proving suitability.

Canadian financial firms face rising compliance demands and recurring work to assess suitability, review files and explain past decisions. Relevant information often sits across documents, communications and separate systems. The business challenge is to bring that information together, act on gaps and preserve the reasoning behind a recommendation. Canadian supervision findings, compliance-cost surveys and mortgage-industry consultations support examining this need.

4orm helps financial businesses manage rising compliance costs and protect their business by providing tools to assess suitability, document their reasoning and retain the evidence behind each decision. The proposed platform connects existing records with customer discovery, education and professional review. Its intended value is less repeated administration, more efficient oversight and a traceable record for audits, complaints and later review. These benefits require validation in operational deployments.

The central question

The commercial test is whether 4orm reduces the cost of documenting and reviewing suitability while improving evidence quality. The first use case is mortgage brokering, with integration, staff effort and oversight included in the assessment.

Scope. Canadian financial services, beginning with mortgage brokering, with international comparisons from related deployments abroad. This is a company-authored research paper based on public sources and founder observations. It is not independent research or a representative consumer study. Method, disclosure and sources appear at the end.

Three signals from the Canadian evidence.

EXHIBIT 1 · SIGNALS FROM THE CANADIAN EVIDENCE

SIGNAL	EVIDENCE	WHAT IT MEANS
Rising workload	**94%** of Canadian respondents to PwC's 2025 survey reported greater compliance complexity. [1]	The pressure extends beyond individual rule changes.
A control gap	FSRA found document-focused checks and mostly post-closing review across the large brokerages it examined. [3]	Having a file does not show timely, meaningful oversight.
Verification needs	The CRA received **1,637** mortgage-industry submissions; **47%** said a yes/no income check would not meet their needs. [9]	Decision support must reflect the information each case requires.

Source: PwC [1]; FSRA [3]; Canada Revenue Agency [9].

01 · THE LANDSCAPE

The rules are cumulative. The workload is rising.

81% rise in reported compliance costs at 24 Canadian property and casualty insurers, 2022 to 2024

Consumer protection, suitability, financial-crime controls and privacy place different demands on the same transaction.

KEY TAKEAWAYS

- Consumer protection, suitability, financial-crime and privacy rules place separate demands on the same transaction.
- Supervisors have found document-focused checks and reviews that happen mostly after closing.
- Compliance workload is rising, and verification needs differ from one case to the next.

Source: Insurance Bureau of Canada, October 2025 [2].

SECTION 01

One transaction now carries several separate obligations.

The changes are cumulative. Consumer protection, suitability, financial-crime controls and privacy place different demands on the same transaction. Canadian obligations vary by province, sector and activity. Federal banking requirements, provincial mortgage rules and financial-crime obligations must each be mapped separately.

EXHIBIT 2 · CANADIAN CHANGES AFFECTING THE SAME TRANSACTION, 2022 TO 2026

June 2022

FEDERAL BANKING

The Financial Consumer Protection Framework strengthened sales practices, appropriateness and complaint handling. [4]

For firms: Consumer needs and circumstances must inform the sales process.

October 2024

MORTGAGE SECTOR

Mortgage administrators, brokers and lenders became subject to federal financial-crime obligations. [6]

For firms: Compliance programs, verification and records add work alongside suitability.

2024-25

ONTARIO MORTGAGE BROKERING

FSRA reported document-focused checks and mostly post-closing reviews among the large brokerages it examined. [3]

For firms: Substantive review needs to occur while concerns can still be addressed.

13 October 2026

BRITISH COLUMBIA

BCFSA states the new Mortgage Services Act framework is scheduled to come into force. [7a]

For firms: Firms face a near-term change in licensing and mortgage practices.

Source: FCAC [4]; FINTRAC [6]; FSRA [3]; BCFSA [7a].

SECTION 02

A current transition in British Columbia.

BCFSA's August 2026 guidance for the incoming framework describes reasonable steps to assess suitability before presenting a mortgage option, including needs, circumstances and material risks. It covers renewals, with some exemptions. Material risks require written disclosure. The guidance says putting the suitability assessment itself in writing is optional, and its recommended forms are optional too. [7b]

That distinction matters commercially. Software should make a broker's reasoning and disclosures easier to manage without presenting optional forms as mandatory. As of this paper's date, the October change has not yet taken effect.

What this changes for firms

A firm can reuse consumer information across processes, but each control has a separate purpose. Identity verification does not establish suitability. An income confirmation does not establish understanding. A signed document alone cannot explain how conflicting information was resolved. Systems need to keep those distinctions while reducing duplicate work.

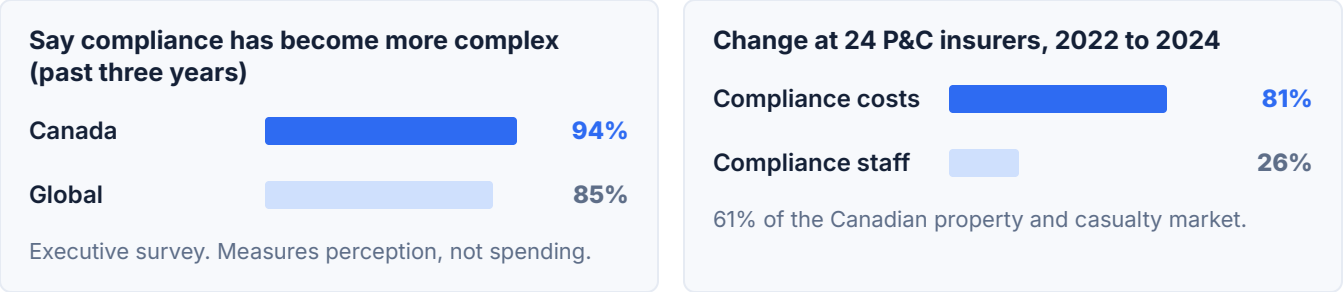
SECTION 03

Compliance demand consumes operating capacity.

PwC's 2025 survey found that **94%** of Canadian respondents believed their compliance requirements had become more complex over the preceding three years, compared with **85%** globally. This measures how executives see it, not a measured increase in spending. [1]

The Insurance Bureau of Canada's October 2025 survey gives a more specific cost signal. Its 24 participating companies represented **61%** of the Canadian property and casualty insurance market. Reported compliance costs rose **81%** from 2022 to 2024, while full-time staff needed for compliance increased **26%**. Internal labour made up nearly three quarters of the reported costs. These findings come from one insurance segment, not all Canadian financial firms. [2]

EXHIBIT 3 · COMPLIANCE PRESSURE IN TWO INDUSTRY SURVEYS



Source: PwC [1]; Insurance Bureau of Canada [2].

A credible technology case should start with the work actually performed: collecting missing information, checking a record, documenting a rationale, escalating an exception and rebuilding an old file. Reducing those tasks can free up capacity even when headcount stays the same.

SECTION 04

Verification needs are more specific than a general data issue.

The CRA's mortgage-industry consultation received **1,637** completed submissions in late 2024; **61%** came from mortgage brokers. Respondents asked for digital income verification, connection to their existing systems and borrower authorization. Asked whether a yes/no income check would be enough, **47%** said no, **41%** said yes and **12%** were unsure. Those wanting more detail described needs around income sources and supporting documents. [9]

EXHIBIT 4 · MORTGAGE INDUSTRY VIEWS ON A YES/NO INCOME CHECK

Would a yes/no income check meet your needs? Share of 1,637 submissions



61% of submissions came from mortgage brokers.

Source: Canada Revenue Agency [9].

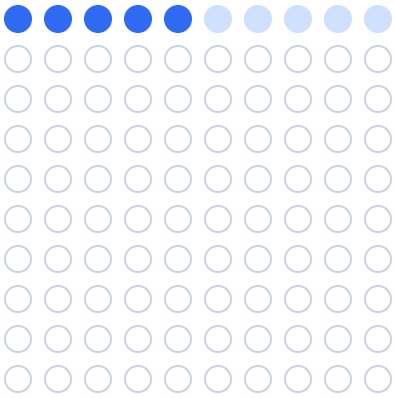
This supports different processes for different cases. Some decisions need a simple confirmation; others need to know the sources and composition of income and how it relates to the application. Adding the same questionnaire to every case would miss that. The consultation does not show that any such service is available to connect to today.

SECTION 05

Consumer harm is broader than the transaction amount.

The Canadian Anti-Fraud Centre reported more than **C$704 million** in fraud losses in 2025. Its March 2026 release said only **5%** to **10%** of frauds are reported. That reporting rate should not be applied directly to dollars to estimate a national total, and reported fraud losses are not a software market. [10]

EXHIBIT 5 · HOW FEW FRAUDS ARE REPORTED



5 to 10
of every 100 frauds are reported

- Reported, low estimate
- Reported, high estimate
- Not reported

Reported 2025 losses exceeded C$704 million. The rate applies to fraud incidents, not dollars.

Source: Canadian Anti-Fraud Centre [10].

These experiences inform 4orm's approach to missing facts, misleading claims and incomplete understanding. For firms, the value is a clearer record of what was checked, explained and resolved. Fraud checks and suitability remain separate tasks; the business platform supports the firm's assessment and evidence.

SECTION 06

Verification must extend to the claimed authority.

EXHIBIT 6 · VERIFICATION MUST EXTEND TO THE CLAIMED AUTHORITY

11,728

Fraudulent investment and crypto websites deactivated

CSA / CIRO initiative, 5 June 2025 to 5 June 2026

Source: CSA Digital Enforcement [19]; CSA Impersonation scams [20].

The CSA reports **11,728** websites removed in one year. This is an enforcement-output count, not a count of victims, businesses or distinct fraud networks. [19]

The CSA also warns that fraudsters reproduce regulatory branding, create convincing websites and issue false documents. It advises verifying suspicious communications through independently obtained regulator contacts. [20]

Business implication: retain the authority checked, the independent source used, the date and any unresolved discrepancy. A convincing document is not, by itself, evidence of authorization.

02 · WHAT WE LEARNED

Understand the customer. Document the assessment. Retain the evidence.

76 randomized experiments show financial education improves knowledge and behaviour

Founder observations inform the design. Business outcomes require validation.

KEY TAKEAWAYS

- Early discovery supplies the facts needed for a suitability assessment.
- Questions, explanations and actions need to be recorded while the decision develops.
- Consumer education supports informed answers and a more complete business record.

Source: Kaiser et al. (2022), more than 160,000 participants [22].

SECTION 07

What retail trading communities taught the founders.

Our founders were involved in large communities of retail traders and investors. They developed systems and processes to help people understand risks and possible outcomes, and directly supported hundreds of individuals before the current 4orm product.

These observations are qualitative. People seeking support are more likely to have encountered problems than the wider population; these experiences do not establish market-wide prevalence.

Three experiences that shaped our understanding

The examples below describe support provided to individuals and events observed in the community. Identities are withheld. Loss estimates and connections between operators have not been independently verified for this paper.

An individual who lost more than one million dollars

The founders supported an individual who lost more than **$1 million** through a broker they identified as unregulated. This reinforced the need to independently verify a provider's identity and authorization before money is transferred.

A trading platform and a fabricated regulatory body

The founder supported individuals affected by a trading platform, with estimated losses of **$10.5 million** among community participants. Early due diligence found apparently complete registration and regulatory documents. The trading company claimed oversight by a separate body, which had its own website, address and supporting documents. To an untrained eye, that body resembled a legitimate regulator, and its records appeared to confirm the trading company's regulatory status.

The founder participated in further investigation that uncovered a much larger network of businesses, brokers and purported regulators appearing to work together to attract North American retail traders and investors. The supposed regulatory body was part of the deception. The lesson extends beyond checking documents: the authority behind a regulatory claim must itself be independently verified. [20]

Repeated demands after a loss

The founders also supported an individual who lost tens of thousands of dollars in 2026 to an operation they identified as fraudulent. More than 150 different phone numbers subsequently called him, demanding further payments to release his funds. A separate company offered to recover the money for a fee; further checks linked that recovery service to the same scam.

SECTION 08

Community experience shaped how 4orm works.

Recognizing the sequence of persuasion

Across their involvement in trading and investing communities, the founders saw thousands of people lose money in opportunities introduced through friends and acquaintances. This is their broader community exposure, separate from the hundreds of individuals they supported directly. It is not an audited count, and investment losses alone do not mean fraud.

That exposure gave the founders familiarity with how opportunities enter a community, the language used to build credibility, the way trust passes through personal introductions and the sequence of requests that follows. A recommendation from a friend can give an opportunity credibility before the consumer has checked the provider or understood the downside. The person making the introduction may be acting in good faith.

The cases also show why the full sequence matters. An initial pitch, reassuring documents, a blocked withdrawal and a later recovery offer can look like separate events. Seen together, they reveal risks that are hard for someone under pressure to judge one message or phone call at a time.

EXHIBIT 7 · FOUR STEPS THAT CAN LOOK LIKE SEPARATE EVENTS

01	02	03	04
Initial pitch	**Reassuring documents**	**Blocked withdrawal**	**Recovery offer**
Often through a friend or acquaintance	Paperwork that appears complete	Funds cannot be taken out	Fees to get money back

Source: Founders' community support experience; not independently verified.

SECTION 09

Founder-market fit grounded in firsthand experience.

4orm's founder-market fit is grounded in firsthand experience of how consumers encounter financial opportunities, try to verify them and look for help when something goes wrong. The founders bring more than a decade of business experience across many industries. Years ago, they experienced personal financial loss through a fraudulent opportunity. That loss led to direct support for affected individuals and to practical checking processes built in real trading and investing communities.

The founders also worked in critical operations in the oil and gas sector, where controls and hazard mitigation were the difference between life and death. That work taught them that the strongest controls act before an incident, not after it.

This experience shapes our approach:

- Be proactive in the solution.
- Start before confusion can set in.
- Document the decision properly.
- With the consumer's permission, share that information with the business, so the firm gains

Product-market fit remains a separate question, to be demonstrated through paid adoption, operating value and reliable evidence.

SECTION 10

Turning customer understanding into compliance evidence.

Understanding the customer gives a firm the context needed to assess suitability. Capturing goals, circumstances, long-term risks, questions and material concerns as work proceeds can reduce repeated collection and later reconstruction. The business value lies in a reviewable basis for the recommendation and a record of how concerns were addressed.

Helping businesses document and defend their decisions

4orm's role is to support the business serving the customer. The proposed tools help staff collect relevant facts, explain consequences, identify gaps and document their assessment. The resulting record should show what was known, which options were considered and why the responsible professional recommended a particular course.

The founders' experience shapes this design: ask useful questions early, connect the answers to the assessment and preserve the reasoning. This is intended to reduce avoidable administration and help firms demonstrate appropriate conduct. A record supports review; it does not replace professional judgment or guarantee protection from liability.

SECTION 11

Suitability begins before the product.

The founders' sales and community experience led to a consistent principle: establish the person's circumstances before selecting a product. For a firm, goals, obligations and capacity to withstand adverse outcomes are inputs to suitability. Recording them early provides a basis for the professional's assessment and subsequent review.

Explore the consequences before the commitment

Interest in a product does not show whether its risks fit a consumer's life. Meaningful discovery explores what the money is for, when it may be needed, who depends on it and what would happen if the expected outcome did not arrive. Worst-case scenarios make those consequences concrete. The answers should lead to safeguards, such as pausing until claims are verified, clearing up misunderstandings or raising concerns before commitment.

EXHIBIT 8 · QUESTIONS TO EXPLORE BEFORE A COMMITMENT

QUESTION TO EXPLORE	PURPOSE OF THE DISCUSSION
What must this money or decision achieve for you?	Establish the consumer's goals and separate essential needs from desired outcomes.
What if returns fail, costs rise or access to the money is delayed?	Test the consequences of realistic bad outcomes for the product.
How would that affect your household and other commitments?	Understand the consumer's ability to absorb the downside, beyond their stated appetite for risk.
What must be verified or changed before you proceed?	Identify open questions, protections and reasons to pause or seek professional review.

Source: 4orm analysis.

SECTION 12

Why the timing matters.

The founders observed that, after sending money, people could become strongly attached to the outcome they expected. Conflicting information became harder to accept, especially when further payments were presented as the way to recover funds.

In their experience, the best opportunity to prevent the first loss was before funds were sent. Detailed personal questions and scenario discussions created a chance to pause, investigate or change course. After a loss, support still mattered for documenting events and avoiding further payments, but it could not undo the original transfer.

Structured discovery can extend beyond a live conversation

Our product hypothesis is that structured digital discovery can reduce routine collection and explanation work. The process would gather relevant facts, explore scenarios, provide education and flag responses requiring review. Each material answer, clarification and action should connect to the suitability assessment, with the responsible professional retaining judgment.

Questions and controls must be adapted to the product and jurisdiction. Success means a more complete suitability record, less repeated administration and timely review of concerns. Consumer understanding supports these outcomes; the firm remains responsible for regulated advice and suitability judgments where required.

SECTION 13

Education supports suitability and compliance.

Education strengthens the assessment record

In their community work, the founders found that questions and scenarios worked best alongside education. Explaining unfamiliar terms, how an offering worked and what its costs and consequences could mean helped people ask better questions and rethink assumptions. In the founders' experience, this supported better decisions before money was committed.

For a business, relevant explanations can help customers provide informed answers and expose misunderstandings before commitment. The proposed workflow records what was explained, checks understanding and routes unresolved concerns to the professional. This adds context to the assessment and can reduce repeated explanations and later disputes.

EXHIBIT 9 · FROM DISCOVERY TO A DECISION

01	02	03	04	05
Discovery	**Explanation**	**Questions**	**Check understanding**	**Decision**
Circumstances and what the consumer needs to understand	Relevant terms, costs and consequences	A chance to ask and clarify	Trade-offs described in their own words	Go ahead, choose another option or wait

Source: 4orm analysis.

SECTION 14

Record unresolved needs and the next action.

When a customer is not ready to proceed, the firm needs to understand why. The cause may be missing information, an unresolved misunderstanding or circumstances that make the option unsuitable. With permission, relevant education and follow-up can help resolve the gap. The record should show the reason for pausing, the action taken and when reassessment is needed.

The primary business hypothesis is less repeated work and a clearer record of explanations, understanding and review. Retention may be a secondary benefit, but the compliance case should stand on measurable operating value and evidence quality. Education must support an informed decision, including a decision not to proceed.

Adjacent U.S. engagement evidence and its limits

An October 2023 supplier case study describes VanDyk Mortgage connecting consumer information across existing systems and using personalized, automated communications to engage prospects and past borrowers. Total Expert reports higher retention and **US$11 million** in net new loan applications from its Journeys feature over six months. The case does not quantify the retention gain. [18]

This is an adjacent engagement case, not evidence of lower compliance costs or a stronger suitability record. It does not isolate education effects and reports application volume rather than revenue. Its relevance is the use of existing customer information and structured follow-up; its sales outcomes are not the basis of 4orm's proposition. [18]

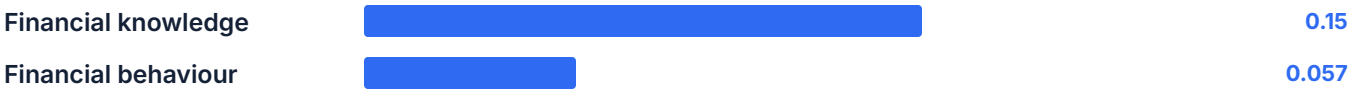
SECTION 15

What 4orm should measure.

Measure staff time spent explaining and following up, repeated questions, unresolved misunderstandings and the completeness of the explanation record. Test whether reviewers can trace material concerns to an action and rationale. Understanding before and after clarification is a supporting measure. Completion of a lesson alone does not establish suitability.

EXHIBIT 10 · EDUCATION CAN IMPROVE KNOWLEDGE AND BEHAVIOUR

Publication-bias-adjusted average effect (standard deviations) · 76 randomized experiments, more than 160,000 participants [22]



Zero-based bars; scale 0.00 to 0.20 standard deviations.

Source: Kaiser et al. (2022) [22]; World Bank analysis (2022) [23].

The research finds positive average effects, with a smaller effect on behaviour than on knowledge. The chart uses publication-bias-adjusted estimates discussed by the World Bank; these are standardized effects, not percentage gains. [22, 23]

For 4orm, test whether education within discovery produces clearer answers and fewer repeat explanations, while recording gaps for professional review. Measure net staff time and resolved misunderstandings; these research results do not establish 4orm savings.

03 · THE BUSINESS CASE

Each benefit must be measured.

100% of the large Ontario brokerages FSRA examined conducted most file reviews after closing

4orm aims to reduce review effort, identify gaps earlier and strengthen suitability evidence.

KEY TAKEAWAYS

- Each benefit needs its own measure: staff time, issues resolved before commitment and consumer understanding.
- A new service must add value beyond existing forms, reports and review procedures.
- Staff time saved becomes cash only when the firm reduces costs or uses that capacity to generate additional margin.

Source: FSRA, 2024-25 supervision plan [3].

SECTION 16

The value goes beyond headline efficiency.

4orm aims to reduce review effort, identify gaps earlier and strengthen suitability evidence. Each benefit must be measured.

Earlier clarity can help keep transactions on track

Resolving a missing fact or misunderstanding while options remain open can help a firm avoid later rework. In FSRA's large-brokerage examinations, every examined firm conducted most file reviews after closing. [3] A useful measure is the share of material questions resolved before commitment, alongside processing time.

Better visibility can help direct professional attention

A system that looks at more interactions may uncover more issues. That can raise escalations, remediation work and recorded complaints even as visibility improves. Managers should separate newly found issues from newly created ones and compare severity, resolution and recurrence over time.

Context makes a review more useful

An automated review can only assess what it is given. A missing call, a changed income figure or an unanswered question can change the conclusion. Every review should show the records examined, the sources missing and any unresolved inconsistencies. Reviewing the records supplied is not the same as reviewing every relevant event.

SECTION 17

Clear records can help firms demonstrate good practice.

A coherent record can show what a consumer needed, what the firm explained and why the chosen path was reasonable at the time. This can support supervision and a fair assessment if a decision is later questioned. Protection depends on conduct as well as records: material concerns still need review and resolution.

Understanding needs its own measure

Our reading of the Canadian supervision findings is that checking for a document and checking understanding are different tasks. [3] A signature, satisfaction rating or low complaint count is not a direct measure of understanding. A useful pilot would ask consumers to explain a material consequence in their own words, then record whether clarification changed their answer.

Less administration can release compliance capacity

Time released from repeated entry, reconciliation and file reconstruction can support supervision and case review. Measure net staff hours after exceptions, corrections and oversight. Financial value depends on whether the firm avoids costs or uses that capacity productively; a time saving alone is not a cash saving.

Permissions support controlled evidence collection

Clear purposes and access rules help a firm collect relevant information and manage its use. Customers should understand what they are contributing and who can access it. The operating goal is a usable suitability record with proportionate collection, role-based access and documented corrections.

SECTION 18

A new service must beat what firms already use.

Canadian firms will compare any new service with their existing systems and processes. An additional product must close a costly gap better than changing settings or revising procedures.

An existing Canadian workflow already supports suitability

Finmo's 2023 product documentation describes a connection with Lender Spotlight that lets brokers compare products and generate a suitability report. [16] This capability already exists in mortgage workflows. A new entrant must show added value beyond another form or report.

EXHIBIT 11 · ALTERNATIVES A CANADIAN BUYER WILL WEIGH

BUYER ALTERNATIVE	QUESTION 4ORM MUST ANSWER
Extend the mortgage workflow	Can 4orm add useful discovery, scenario testing or connected records beyond existing product comparison and reporting?
Improve internal review procedures	Does the service improve the timing or quality of review more than revised checklists, training and supervision alone?
Use official verification sources	Can 4orm connect verified facts to the consumer's circumstances and decision without duplicating the verification service?
Keep current document and communication tools	Does a connected record materially reduce missing context, repeated data entry or time spent rebuilding files?

Source: 4orm analysis.

These alternatives are our commercial analysis, not a full supplier audit. The CRA consultation shows verification needs, not that a service is available to connect to. [9] International competition is covered separately.

SECTION 19

Our proposed contribution.

4orm is being developed as a suitability and evidence platform for financial businesses. It would connect authorized records from existing systems with customer circumstances, explanations, professional reasoning and review actions. Tools would flag gaps, support escalation and retain source-linked, dated evidence. Access would reflect each user's role, with restricted internal records controlled separately. The firm remains responsible for its decisions and compliance obligations.

In a mortgage workflow, staff would collect customer circumstances, connect authorized records, explore relevant scenarios and record explanations. Missing or conflicting information would be flagged for review. The professional would document the assessment, actions and rationale. The resulting record would support supervision and retrieval without rebuilding the file from separate systems.

EXHIBIT 12 · A PRACTICAL MORTGAGE WORKFLOW

01 **Gather facts** Customer circumstances and authorized records	02 **Assess suitability** Relevant options and downside scenarios	03 **Explain and check** Education and recorded understanding
04 **Resolve gaps** Escalation and professional review	05 **Record the rationale** Decision, reviewer, date and sources	06 **Retrieve evidence** Supervision, audit and complaint review

Source: 4orm analysis.

Where an advantage could develop

Potential advantages are fit with Canadian review workflows, reliable evidence retrieval and lower effort to document an assessment across existing systems. These remain hypotheses. Evaluation must include missing inputs, corrections, exception handling and the quality of human review.

Canadian suitability, supervision and verification needs support testing mortgages first. [3, 7b, 9] Expansion to other sectors requires a paid use case and proof that the capabilities can be reused effectively.

SECTION 20

Time saved becomes cash only when costs fall.

Measure the total cost of a completed review

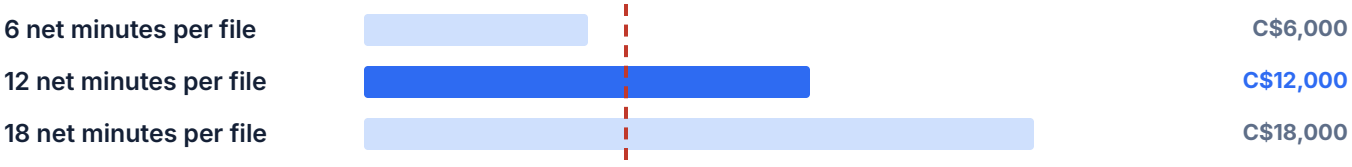
The first commercial test should compare the current process with the proposed one at the same quality and coverage. Count setup, training, consumer effort, source checking, exception handling and ongoing quality checks. Staff time saved becomes a cash saving only when the firm can actually reduce spending or avoid planned costs.

Illustration only. Assume **1,000** files per month, 12 net minutes saved per file and **C$60** per staff hour, including benefits and overhead. That frees 200 hours, worth **C$12,000** per month. At 6 minutes, the value falls to **C$6,000**; at 18 minutes it rises to **C$18,000.** These are assumptions, not 4orm results or market wage estimates. “Net” must include any extra review and correction time.

If recurring software and operating costs were **C$7,000** per month and setup cost **C$30,000,** the middle case would leave **C$5,000** per month of freed capacity and a six-month payback. The lower case would not cover recurring costs. The payback is in staff time, and becomes cash only if the firm uses that capacity to generate additional margin or reduces costs. Avoided fines and possible sales gains are excluded.

EXHIBIT 13 · ILLUSTRATIVE VALUE OF STAFF TIME FREED

Monthly value of staff time freed on 1,000 files



Recurring cost C$7,000 a month Assumes C$60 per staff hour including benefits and overhead.

Source: 4orm illustration; assumptions as stated in the text.

SECTION 21

Privacy and record quality are operating requirements.

The Office of the Privacy Commissioner's principles under PIPEDA, Canada's federal private-sector privacy law, cover purpose, consent, limited collection, accuracy, safeguards, access and limits on use and retention. The applicable federal or provincial law must be confirmed for each deployment. [17] Any records service should turn those principles into clear permissions and access controls.

For optional uploads, consumers should see what they are sharing, why it is needed and who can see it. The design should support correction, export and withdrawal of optional future permissions. Withdrawal should not be presented as deleting every business record where the firm must keep it.

EXHIBIT 14 · WHAT A BUYER SHOULD ASK TO SEE

REQUIREMENT	WHAT A BUYER SHOULD ASK TO SEE
Traceable sources	Original records, timestamps, versions and a clear line between source facts and conclusions drawn from them.
Human accountability	Named reviewers, escalation rules, overrides and records of how material concerns were resolved.
Reliable operations	Security assessment, access logs, recovery testing, export and a process for missing information.
Controlled rollout	A limited pilot, documented setup effort, staff training and a way to fall back to the manual process.

Source: 4orm analysis.

Records should be kept for as long as there is a justified reason. A blanket promise to keep everything for a decade would ignore differences in purpose and obligation. The record must stay understandable for as long as it is kept, including after a staff member or supplier changes.

SECTION 22

Process improvements can support review capacity.

EXHIBIT 15 · PROCESS IMPROVEMENTS CAN SUPPORT REVIEW CAPACITY

OBSI: reduction in average investigation time, 2021 to 2025



Zero-based bars; maximum scale 25%.

Source: OBSI Annual Report 2025 [21].

Note: OBSI links gains to process, templates and case management changes. Adjacent evidence, not a technology-only or 4orm result. [21, p. 11]

Note: 4orm's test is to reduce net retrieval and review time without weakening oversight.

04 · OUTLOOK

Gains abroad must be proven in Canada.

40% lower file-checking costs within a year at UK adviser Attivo, as reported by its supplier

Canadian pilots must show their own costs, quality, adoption and outcomes before these benefits can be assumed here.

KEY TAKEAWAYS

- Related tools report operating gains abroad, but supplier figures are unaudited and must be proven in Canada.
- Canadian firms are likely to connect consumer information, explanations and decisions within their workflows.
- A paid Canadian deployment must show better fit, net operating value and reliable review.

Source: Recordsure, December 2025 [11].

SECTION 23

UK firms report gains, not Canadian results.

The UK cases below show adoption and reported operating results. They are not Canadian legal requirements, Canadian results or forecasts for 4orm. The Canadian analysis in this paper rests on the domestic evidence in the earlier sections.

Why the UK experience is relevant

The UK Consumer Duty, the Financial Conduct Authority's rule that firms deliver good outcomes for retail customers, took effect for open products in July 2023 and closed products in July 2024. [5] The Chartered Insurance Institute's September 2026 report describes continuing difficulty proving consumer outcomes. [8] This helps explain investment in related tools abroad; it does not mean Canada has an equivalent framework.

EXHIBIT 16 · UK SUPPLIER-REPORTED RESULTS

UK BUSINESS AND WORKFLOW	SUPPLIER-REPORTED RESULT	RELEVANCE AND LIMITS
Attivo with Recordsure, financial advice	**40%** lower file-checking costs within a year; about **30%** more planner capacity in the December 2025 account. [11]	Supports testing review efficiency; results reflect a phased operating change.
Key Group with Aveni, later-life advice	About **65%** average review-time savings in the March 2022 case. [12]	Older, task-specific result based on observed user sessions.
Cavendish Online with Aveni, protection insurance	Monitoring of **100%** of specified checks on selected applications across three journeys. [13]	Wider coverage does not mean every issue is caught or understanding is checked.
Santander UK with Docusign, business onboarding	39 PDFs replaced by one dynamic form; average process time fell from 12 days to 2. [14]	Older, adjacent workflow; not evidence of better suitability.

Source: Recordsure [11]; Aveni [12, 13]; Docusign [14]. Figures are supplier-published and not independently audited.

SECTION 24

Implementation lessons and competition.

Cavendish's case describes difficulty connecting its phone systems, which at first required manual uploads. Its future priorities included checking understanding and matching call recordings with application documents; those are plans, not delivered results. [13] Attivo's account stresses governance, staff adoption and a phased rollout. [11]

Aveni's September 2026 launch connects calls, emails, webchat, texts and documents in a single case review. [15] Connected case records are an established area of competition. A Canadian entrant must prove local workflow value and fit.

What Canadian buyers can take from these cases

Related technology attracts investment and delivers reported operating benefits. All figures here are published by suppliers; no independent audit or controlled comparison was found. Different workflows and measures mean the results cannot be combined into a single return figure. Canadian pilots must show their own costs, quality, adoption and outcomes before these benefits can be assumed here.

SECTION 25

Canadian firms will connect information and decisions.

The most likely direction

We expect Canadian firms to increasingly connect consumer information, explanations and decisions within their workflows. This view draws on Canadian supervision findings, the incoming B.C. mortgage framework and the CRA consultation. [3, 7a, 7b, 9] These show needs, not adoption rates or future market leaders.

The lasting capability is likely to be a sequence that can be reviewed: what information was available, what the consumer understood, who acted and how open issues were handled. Broad monitoring should support targeted professional attention. As more work is automated, a firm still needs to know who is accountable when a conclusion is wrong.

EXHIBIT 17 · FOUR WAYS CANADIAN ADOPTION COULD UNFOLD

SCENARIO	WHAT WE WOULD SEE	WHAT IT MEANS
Gradual adoption	Firms buy narrow review and record tools after successful pilots.	Focused workflow value matters more than a broad platform claim.
Faster adoption by institutions	Several buyers fund connections to their systems and expand use after measured results.	Sales reach and setup capacity become the main limits.
Existing providers add it	Current platforms add similar features at little extra cost.	A standalone supplier must show better outcomes or an underserved use.
Adoption stalls	Setup cost, unreliable outputs or low consumer participation outweigh savings.	Narrow or stop the use case rather than wait for demand.

Source: 4orm analysis.

SECTION 26

A practical validation plan.

A first pilot should use an agreed set of files, with consent or with names and identifying details removed, a documented starting point and reference decisions checked by an independent reviewer. Compare similar case types. Reviewing past files first, then supervised live use, can separate the value of finding information faster from the value of catching issues in time to act.

Measure net staff minutes, repeated requests, review time, evidence completeness and the time needed to reconstruct a decision. Also test missed issues, unsupported alerts and resolution of material concerns before commitment. Customer understanding is a supporting measure. Report sample sizes and variation; assess complaints and remediation over a longer period.

What would weaken this view

The case weakens if the product duplicates existing forms, produces too many false alerts, shifts work onto consumers or cannot access the information needed for review. It also weakens if pilot users will not pay enough to cover setup and support, or if better records fail to change decisions when real concerns arise.

4orm's commercial case rests on helping firms manage compliance work and demonstrate the basis of their decisions. A paid deployment must show net operating value, reliable suitability evidence and effective professional oversight.

EXHIBIT 18 · DISPUTES TEST INSTRUCTIONS, SUITABILITY AND SERVICE RECORDS

OBSI investment cases opened in 2025: top five issues (672 total)



Source: OBSI Annual Report 2025, pp. 46 and 62 [21].

Note: these are complaint categories, not findings of misconduct or market-wide failure rates. OBSI also reports firm delays supplying information. For 4orm, test whether reviewers can retrieve the relevant facts, instructions and rationale without reconstructing the file.

APPENDIX

Method and evidence grading.

Method. This paper is a focused review of published sources, completed on 25 September 2026. It builds on 4orm's existing validation work and rechecks selected claims against regulator publications, official consultations, industry research and original supplier case studies. It is not a full academic review of all published research, a legal opinion, a valuation or a market-size forecast.

How to weigh the evidence. Regulator publications establish rules, guidance and examination findings within their scope. Consultations and surveys describe the people who took part. Supplier cases show reported adoption and results, but suppliers choose which cases to publish and may credit their product with results that had other causes. Founder observations generate ideas to test; they are not a representative dataset. Forward-looking statements and cost examples are our analysis.

EXHIBIT 19 · HOW TO WEIGH THE EVIDENCE IN THIS PAPER

STRONGER

Regulator publications	Establish rules, guidance and examination findings within their scope
Consultations and surveys	Describe the people who took part
Supplier case studies	Show reported adoption and results; selected and credited by the supplier
Founder observations	Generate ideas to test; not a representative dataset

WEAKER

Source: 4orm method.

APPENDIX

Limits on comparison, and our disclosure.

Limits on comparison. The Canadian analysis stands on domestic evidence. UK examples appear only in the international section. Results keep their original dates. Examination samples are not market-wide failure rates, consultation interest is not willingness to pay, and supplier savings are not expected 4orm results. No independent audit of supplier figures was found.

Disclosure

4orm is developing a commercial product in this area and has an interest in the conclusions. The organizations cited have not endorsed this paper or 4orm. Product descriptions are proposed capabilities, not results from live deployments. The founders' community observations and case accounts were supplied by management. No underlying case files, loss amounts, company identities or connections between operators were independently verified for this paper.

SOURCES

References [1] to [23].

Twenty-three references. Every square-bracket reference in this paper links to its entry here.

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[2] **Insurance Bureau of Canada.** Regulatory compliance cost survey, 30 October 2025. 24 companies; 61% of the Canadian property and casualty market; 2022 to 2024.

[3] **FSRA.** Mortgage brokering sector supervision plan 2024-25. Large-brokerage examination findings; percentages apply to the firms examined.

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[5] **FCA.** PS22/9 A new Consumer Duty. UK policy and implementation dates.

[6] **FINTRAC.** Mortgage administrators, brokers and lenders. Sector obligations effective 11 October 2024.

[7a] **BCFSA.** Mortgage Services Act transition. Published implementation date: 13 October 2026.

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[9] **Canada Revenue Agency.** Mortgage industry consultation on a potential income verification tool. 2025 report on the late-2024 consultation; 1,637 submissions.

[10] **Canadian Anti-Fraud Centre.** Fraud Prevention Month release, 6 March 2026. Reported 2025 losses; the reporting-rate estimate concerns fraud incidents, not dollars.

[11] **Recordsure.** Attivo deployment and outcomes, 3 December 2025. Supplier account; 40% cost reduction within a year and about 30% more planner capacity. Earlier announcements use a six-month period; this paper uses the December account throughout.

[12] **Aveni.** Key Group case study, 1 March 2022. Supplier case; about 65% average savings based on observed user sessions.

[13] **Aveni.** Cavendish Online deployment case study. Supplier case describing a 2025 expansion; specified checks, setup constraints and future priorities.

[14] **Docusign.** Santander digital onboarding and loan fulfilment case. Older supplier case; adjacent business onboarding workflow.

[15] **Aveni.** Enhanced Detect case-level outcome testing launch, 10 September 2026. Supplier launch announcement; shows competitive direction, not independently verified performance.

[16] **Finmo.** Mortgage suitability forms release, 18 April 2023. Original product documentation; the page also shows a November 2023 update.

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Research paper · Issue 01, 25 September 2026

Chad R. Johnston, Founder and Chief Executive, 4orm Finance

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